

112	Patterson vs. Pandor Irvine, LLC 2024-01424770	Motion for Approval of Class/PAGA Settlement Plaintiff Michaila Patterson’s Motion for Preliminary Approval of Class Action and PAGA Settlement is CONTINUED to November 19, 2026 at 2:00 p.m. in Department CX102 in order to give Class Counsel an opportunity to address the issues identified below. This is a putative wage-and-hour class action and PAGA matter. On 9/12/2024, Plaintiff Michaila Patterson, individually and on behalf of all others similarly situated, filed a class action complaint against Defendants Pandor Irvine, LLC; Pandor Irvine II, LLC; Pandor Mission Viejo, LLC; Pandor Newport, LLC; Pandor Orange, LLC; and RTR Bakery, LLC. (ROA #2.) The operative complaint is the first amended complaint, filed on 1/13/2026 pursuant to the parties’ stipulation and the Court’s order (see ROA #47), alleging various Labor Code wage-and-hour violations and unfair business practices, including a claim for PAGA penalties. (ROA #51.) On 5/7/2026, Plaintiff filed the instant Motion for Preliminary Approval of the Class Action and PAGA Settlement, and submitted the Class Action and PAGA Settlement Agreement (“Settlement Agreement”) and Class Notice for the Court’s review. The motion seeks preliminary approval of the parties’ proposed settlement of Plaintiff’s class and PAGA claims for the non-reversionary gross settlement amount (GSA) of \$269,000. The GSA includes \$20,000 allocated for PAGA penalties. The Court has identified the following issue with the Settlement Agreement, which must be addressed by the parties before preliminary approval can be granted: 1. The Settlement Agreement provides for funding of the GSA by two equal installments by Defendants, with one installment made on the Effective Date or 10/31/2026, whichever is later, and the other installment made 365 days after the first installment payment or 10/31/2027, whichever is earlier. (Settlement, ¶ D.2.) Then, ¶ D.3 states: “No later than fourteen (14) calendar days after Defendant funds fifty percent (50%) of the Gross Settlement Amount (\$134,500), the Administrator will mail fifty percent (50%) of the settlement payments to the appropriate persons and entities. This first disbursement will NOT take place prior to Final Approval. No later than fourteen (14) calendar days after Defendant funds the remaining fifty percent (50%) of the Gross Settlement Amount (\$134,500) all employer payroll taxes owed on the Wage Portion of the Individual Class Payments, the Administrator will mail the remaining fifty percent (50%) of the settlement payments to the appropriate persons and entities. The disbursement of the Class Counsel Fees Payment, Class Counsel Litigation Expenses Payment, and Class Representative Service Payment shall not precede disbursement of Individual Class Payments and Individual PAGA Payments.”
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The last sentence of ¶ D.3. is problematic because it suggests that the first distribution after Defendant's first 50% installment payment will *not be allocated pro rata* among all "appropriate persons and entities" who are entitled to receive a portion of the GSA, but will instead mostly go to paying Individual Class Payments and Individual PAGA Payments. But if Defendants are ultimately unable to fund the second 50% installment payment, and the funds from the first 50% installment payment have already been fully distributed only to Class Members and Aggrieved Employees, then it would be impossible to claw back those distributions from the initial 50% installment so as to effect a pro rata distribution among all remaining "appropriate persons and entities" entitled to a portion of the GSA.

Notably, the proposed Class Notice simply states at ¶ III.1.b.: "No later than fourteen (14) calendar days after Defendant funds fifty percent (50%) of the Gross Settlement Amount (\$134,500), the Administrator will mail fifty percent (50%) of the settlement payments to the appropriate persons and entities. No later fourteen (14) calendar days after Defendant funds the remaining fifty percent (50%) of the Gross Settlement Amount (\$134,500) all employer payroll taxes owed on the Wage Portion of the Individual Class Payments, the Administrator will mail the remaining fifty percent (50%) of the settlement payments to the appropriate persons and entities." There is no final sentence suggesting that Class Members and Aggrieved Employees will be paid first such that pro rata distribution is no longer possible if Defendant fails to fund the 2nd installment.

Class Counsel must also provide the Court with a revised Class Notice with the following revisions:

1. The following sentence should be added after the sentence "Read it carefully!" at the top of p. 1: "You will be deemed to have carefully read and understood it."
2. The following sentences on p. 1 should be bolded: "Your legal rights are affected whether you act or not act."
3. On pp. 1-2, it is confusing to list only 2 options at first and then list 5 options immediately thereafter. These two sections should be combined into a single section that just identifies the 5 main options.
4. On p. 2, the notice states that Class Members cannot object to the PAGA settlement. Likewise, the Request for Exclusion and Objection Forms state that Class Members may only "object to the class action portion of the Settlement." This is incorrect, as Class Members can object to the PAGA settlement—they just cannot opt out.
5. In Sections VI and VII, the notice should explain that opt-out requests and objections may be sent by mail, fax, or email.
6. The notice should specify that the judgment, "whether favorable or not," will be binding all Class Members who do not request exclusion. (CRC, rule 3.766(d)(4).)

Class Counsel must also provide a revised [Proposed] Order Granting Preliminary Approval with the following revisions:

1. The proposed order should be revised to incorporate the relevant revisions identified above, including attaching the revised Class Notice.
2. The date for the preliminary approval hearing should be updated to reference the continued hearing date.
3. The proposed order should reference by name and ROA number all the declaration(s) to which the Settlement Agreement and any amendments thereto are attached.
4. All terms that require definition must either be defined in the proposed order itself or clearly incorporate by reference definitions found elsewhere in the record.
5. Counsel should not leave blank but should instead propose a realistic Final Approval hearing date, taking into account the deadlines associated with mailing and remailing the notice and responses thereto and the documentation required to support final approval (including but not limited to time records or a summary of time spent by Class Counsel so as to enable the Court to evaluate the lodestar and attorneys' fee request; detailed litigation cost breakdowns; an Administrator declaration and invoice; and Plaintiff's declaration to support the enhancement request). The Court usually sets these hearings at least 4 months after preliminary approval. All supporting papers must also be filed at least sixteen (16) court days before the Final Approval hearing date.

The Court further refers Class Counsel to the "Guidelines for Approval of Class Action Settlements & PAGA Settlements" posted on the Court's website for Department CX102, available at <https://voypubapps.occourts.org/complex-civil-calendar>.

Class Counsel must file supplemental papers addressing the Court's concerns no later than sixteen (16) court days prior to the continued hearing date. Counsel must also provide redlined versions of all revised papers and an explanation of how the pending issues were resolved with precise citation to any revisions. A supplemental declaration or brief that simply asserts the issues have been resolved is insufficient and will result in a further continuance. If supplemental papers addressing all of the Court's concerns cannot be filed by the pre-hearing deadline, Class Counsel must request a continuance. Failure to do so may result in the issuance of an Order to Show Cause re Monetary Sanctions.

Plaintiff is ordered to give notice of this Court's ruling, including to the LWDA, within five (5) court days, and file proof of service.